

July 16, 2026 12:55 AM GMT

Global Valuation, Accounting & Tax | North America

What Are US Companies Doing with Cash?

Cash continues its ascent, while the cash/EV ratio and FCF yield moved in the opposite direction, hitting their 20-year lows of 3.3% and 2.6%, respectively. Companies continue to pour money earned and raised into growth capex and consensus believes that margins will continue expanding.

The Russell 1000 cash balance grew to \$2.3 trillion, as its cash/EV ratio continued its path lower to 3.3%. Most of the cash is held in the Information Technology, Consumer Discretionary, and Communication Services sectors. >\$50 billion market cap companies such as **ABNB, NKE, NEM, INTU, MDT, EW, VRTX, HPE, ROST**, and **DDOG** have robust levels of cash. [Exhibit 5](#) contains the full list of companies with ample cash balances.

In 1Q26, companies generated \$1.7T of free cash flow, while the FCF yield fell to +2.6%. Operating cash flows increased to \$3.0T (+20.6% y/y) as capex increased by +27.1% y/y to \$1.3T. The Russell 1000 consensus NTM margin estimate increased to ~16.4% at the end of 1Q26.

Companies with ample FCF are self-financing and may better withstand any deeper or prolonged corrections in the market. >\$50B market cap companies with expected strong FCF growth include **F, HPE, DASH, NKE, NEM, AMGN, DDOG, EW, MDT**, and **ABNB**. See [Exhibit 13](#) for additional companies that screen well on a FCF growth basis.

Total shareholder return (net buybacks + dividends) increased to \$2.0T (+2.8% q/q and +8.0% y/y). \$800B of dividends and \$1.2T of net buybacks. [Exhibit 18](#) contains Russell 1000 companies with a total shareholder return of at least 7.5%, including >\$50B market cap companies such as **ACN, CRM, C, WFC, TFC, GM, JCI**, and **BAC**.

The cash conversion cycle (CCC) slowed over the past quarter and currently stands at 84 days, up +1 day q/q. The CCC increased due to less favorable days inventory outstanding. [Exhibit 21](#), [Exhibit 22](#), [Exhibit 23](#), and [Exhibit 24](#) contain CCC ideas based on the strongest CCC, weakest CCC, and greatest y/y changes (largest percentage increases and decreases).

Interest Rates. As interest rates have fallen, every sector except Communication Services increased their debt levels over the past quarter. Utilities, Real Estate, Financials, and Consumer Discretionary increased their debt the most versus a year ago. **CLX, BG, PSX, MAA, ADM, CPT, SWK, MKC, ECHO, SMCI, R, CRWV, GPC**, and **SBAC** are >\$10B market cap companies that may have near-term refinancing needs ([Exhibit 27](#))

MORGAN STANLEY & CO. LLC

Todd Castagno, CFA, CPA

GVAT Strategist

Todd.Castagno@morganstanley.com

+1 212 761-6893

Clinton Chang, CFA, CPA

GVAT Strategist

Clinton.Chang@morganstanley.com

+1 212 761-1185

Kate Konetzke, CFA, CPA

GVAT Strategist

Kate.Konetzke@morganstanley.com

+1 212 761-3457

Mariah Thompson

GVAT Strategist

Mariah.Thompson@morganstanley.com

+1 212 761-1147

Exhibit 1 : Industry Trends (y/y quarterly changes)

Industry Group	CFI	Capex	FCF	Dividends	Buybacks
Autos & Comp	▲	▲	▲	▲	▲
Banks	▲	▲	▲	▲	▲
Capital Goods	▲	▲	▲	▲	▲
Prof Svcs	▲	▲	▲	▲	▲
Retailing	▲	▲	▲	▲	▲
Cons Durables	▲	▲	▲	▲	▲
Cons Services	▲	▲	▲	▲	▲
Staples	▲	▲	▲	▲	▲
Energy	▲	▲	▲	▲	▲
Div Fin/ls	▲	▲	▲	▲	▲
Food & Bev	▲	▲	▲	▲	▲
Health Care	▲	▲	▲	▲	▲
Household Prod	▲	▲	▲	▲	▲
Insurance	▲	▲	▲	▲	▲
Materials	▲	▲	▲	▲	▲
Media	▲	▲	▲	▲	▲
Pharma & Biotech	▲	▲	▲	▲	▲
Real Estate	▲	▲	▲	▲	▲
Semiconductors	▲	▲	▲	▲	▲
Software	▲	▲	▲	▲	▲
Tech Hardware	▲	▲	▲	▲	▲
Telecom	▲	▲	▲	▲	▲
Transportation	▲	▲	▲	▲	▲
Utilities	▲	▲	▲	▲	▲

Note: Russell 1000 universe. y/y changes are calculated by comparing 1Q26 vs 1Q25. >5.0% YoY increase indicated by an up arrow, +5.0% to -5% YoY change denoted by a flat trend line, and <-5.0% YoY marked by a down arrow.

Source: FactSet and Morgan Stanley Research.

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

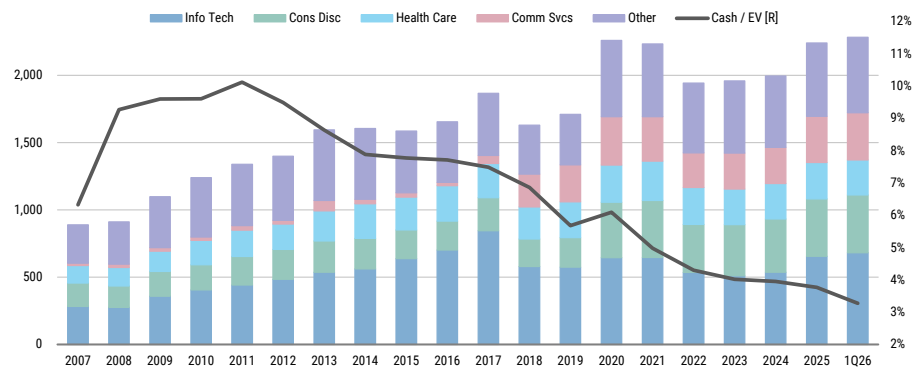
Recent Global Valuation, Accounting & Tax Research:

- [Snapshot: SBC is Back \(25 Jun 2026\)](#)
- [OBBBA Benefits Still Ahead \(11 Jun 2026\)](#)
- [NOLs: Spinning Your Wheels? \(10 Jun 2026\)](#)
- [AI: Charting Recent Trends \(9 Jun 2026\)](#)
- [The State of Stock-Based Compensation \(8 Jun 2026\)](#)
- [Snapshot: New Income Tax Disclosures \(3 Jun 2026\)](#)
- [Dividend Playbook Quarterly \(27 May 2026\)](#)
- [2026 US Corporate Pensions \(22 May 2026\)](#)
- [Snapshot: Spin-Off Happenings \(19 May 2026\)](#)

Cash Still Climbing

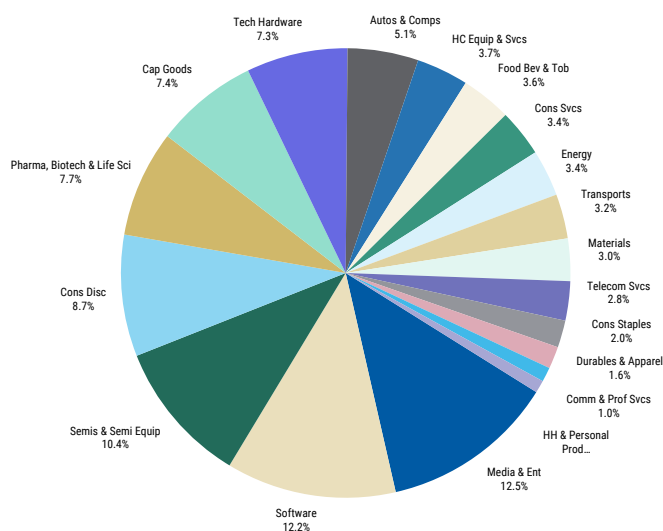
Russell 1000 companies' cash marched higher this quarter, growing its balance to ~\$2.3 trillion as its cash/EV ratio fell further to ~3.3%. Information Technology (29.9%), Consumer Discretionary (18.8%), Communication Services (15.4%), and Health Care (11.4%) account for approximately three quarters of the Russell 1000 cash (ex-Financials, Real Estate, and Utilities).

Exhibit 2: Cash and Equivalents (USD in billions)



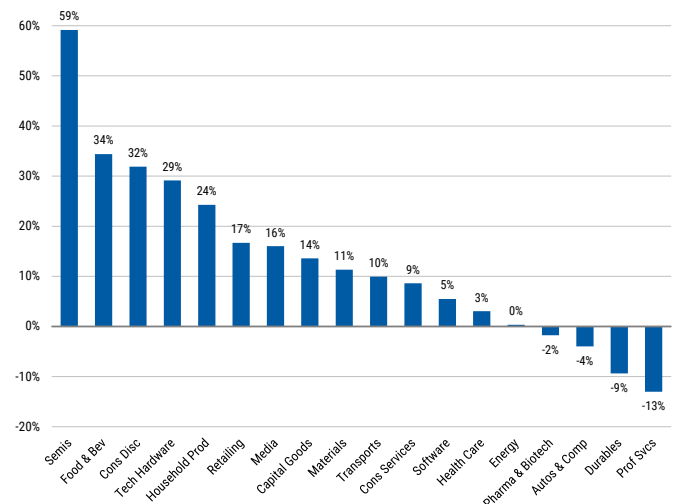
Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Exhibit 3: Cash by Industry Group (1Q26)



Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Exhibit 4: y/y Quarterly Change in Cash



Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Screen #1. Fortress Balance Sheets

Here we've identified companies with strong balance sheets and sufficient liquidity, that also generate excess returns over their cost of capital. With liquidity and solvency to run operations and service debt, these stocks could have better downside protection than the average.

Screening Criteria:

- Russell 1000 companies, excluding Financials, Real Estate, and Utilities sectors
- Cash / EV >5.0%
- Positive FCF growth CAGR expected over the next two years, with positive growth in each year
- >10.0% return on invested capital expected in each of the next two years
- Current ratio (current assets / current liabilities) >1.0x
- Low leverage (debt / equity) <2.5x
- Investment grade credit rating
- Excludes companies with negative equity

Note: This is a quantitative screen and qualitative assessment is warranted.

Additionally, **Apple [AAPL]** was quantitatively excluded from this screen, despite having one of the strongest balance sheets around. Apple holds \$45.6 billion of cash, \$22.9 billion of short-term securities, and \$78.1 billion of long-term investments, with the majority of its long-term investments held in corporate debt securities (46.3%), mortgage- and asset-backed securities (30.4%), and U.S. Treasuries (14.5%).

Exhibit 5: Strong Balance Sheets

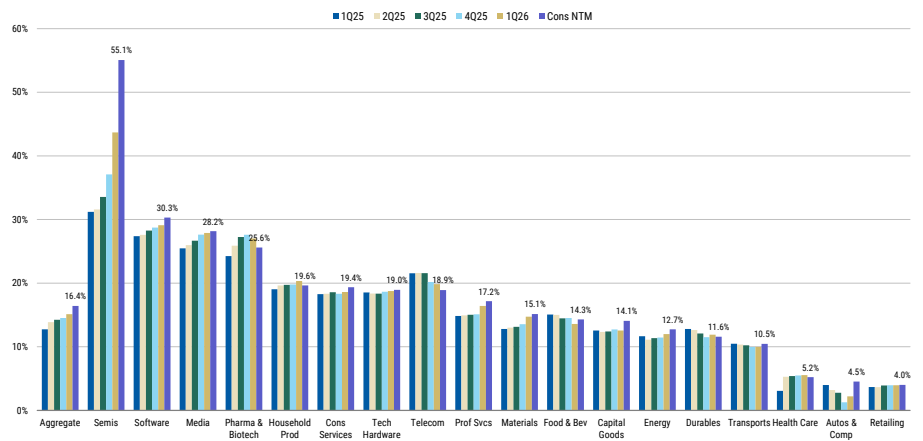
Ticker	Company	Sector	Market Cap (\$M)	Cash / EV	Debt / Equity	Current Ratio	FCF Growth FY1	FCF Growth FY2	ROIC FY1	ROIC FY2	YTD Total Return
VEEV	Veeva Systems Inc.	Health Care	31,366	29.4%	0.0x	4.7x	12.4%	13.5%	16.8%	14.5%	-13.5%
PATH	UiPath, Inc.	Info Tech	6,186	25.8%	0.0x	2.2x	12.5%	14.8%	18.8%	18.9%	-27.2%
ESTC	Elastic NV	Info Tech	6,478	23.2%	0.5x	1.6x	27.6%	23.6%	16.0%	16.3%	-17.4%
INCY	Incyte Corporation	Health Care	22,951	20.3%	0.0x	3.7x	5.2%	28.9%	23.6%	21.2%	16.3%
HUBS	HubSpot, Inc.	Info Tech	10,739	17.7%	0.1x	1.5x	27.1%	19.1%	27.2%	24.4%	-47.7%
COLM	Columbia Sportswear Co.	Cons Disc	3,207	16.5%	0.3x	3.1x	18.4%	4.2%	11.5%	12.0%	14.9%
ZS	Zscaler, Inc.	Info Tech	24,594	15.5%	0.8x	1.8x	7.2%	21.4%	15.9%	15.0%	-32.4%
ABNB	Airbnb, Inc.	Cons Disc	86,972	15.2%	0.3x	1.4x	13.8%	11.5%	25.2%	23.1%	8.0%
SSNC	SS&C Technologies Hldgs	Industrials	16,085	14.5%	1.1x	1.1x	2.2%	11.5%	12.6%	14.0%	-23.0%
NKE	NIKE, Inc. Class B	Cons Disc	63,471	13.8%	0.7x	2.0x	33.4%	13.6%	11.9%	14.7%	-31.4%
WDAY	Workday, Inc.	Info Tech	34,533	12.5%	0.6x	1.0x	14.3%	15.9%	25.2%	23.6%	-34.9%
BBY	Best Buy Co., Inc.	Cons Disc	17,700	11.1%	1.3x	1.1x	7.4%	29.2%	29.9%	29.3%	28.3%
AA	Alcoa Corporation	Materials	12,947	10.7%	0.4x	1.5x	41.7%	75.2%	18.6%	15.9%	-7.3%
ONON	On Holding AG	Cons Disc	12,492	10.5%	0.3x	3.0x	18.8%	42.6%	16.1%	16.5%	-18.8%
PCOR	Procore Technologies Inc	Info Tech	6,494	10.1%	0.1x	1.1x	32.0%	25.6%	19.2%	20.4%	-40.8%
MDB	MongoDB, Inc.	Info Tech	27,722	9.4%	0.0x	4.7x	13.5%	22.3%	15.9%	16.1%	-17.9%
DT	Dynatrace, Inc.	Info Tech	13,072	9.2%	0.1x	1.3x	15.2%	18.6%	19.1%	18.5%	3.9%
ALGN	Align Technology, Inc.	Health Care	12,781	9.0%	0.0x	1.4x	90.3%	12.0%	17.8%	18.0%	14.3%
NEM	Newmont Corporation	Materials	101,150	8.8%	0.2x	2.4x	33.0%	18.9%	23.9%	22.7%	-4.6%
INTU	Intuit Inc.	Info Tech	77,255	8.7%	0.3x	1.5x	25.1%	6.6%	23.9%	24.6%	-56.8%
SNA	Snap-on Incorporated	Industrials	20,960	8.4%	0.2x	3.5x	9.2%	4.4%	14.3%	14.9%	18.8%
EBAY	eBay Inc.	Cons Disc	49,968	8.2%	1.6x	1.2x	95.4%	3.6%	26.3%	26.5%	29.9%
RHI	Robert Half Inc.	Industrials	3,647	7.9%	0.2x	1.5x	23.4%	2.0%	11.7%	19.3%	35.6%
FLS	Flowserve Corporation	Industrials	8,894	7.8%	0.9x	2.2x	4.7%	21.2%	11.5%	11.9%	0.9%
NBIX	Neurocrine Biosciences, Inc.	Health Care	17,299	7.8%	0.1x	2.9x	33.2%	50.2%	18.3%	19.1%	21.3%
AU	Anglogold Ashanti PLC	Materials	40,572	7.7%	0.3x	2.7x	51.1%	19.9%	42.5%	39.6%	-2.4%
CDE	Coeur Mining, Inc.	Materials	16,488	7.6%	0.1x	3.7x	278.3%	26.5%	15.5%	16.8%	-10.2%
MDT	Medtronic Plc	Health Care	101,508	7.5%	0.6x	2.1x	17.3%	12.6%	10.1%	10.6%	-16.0%
EW	Edwards Lifesciences Corp	Health Care	51,874	7.4%	0.1x	4.4x	20.6%	25.6%	14.4%	14.8%	5.7%
NXT	Nextpower Inc.	Industrials	15,872	7.3%	0.0x	2.4x	11.6%	45.6%	25.6%	26.4%	20.1%
RDDT	Reddit, Inc.	Comm Svcs	39,131	7.2%	0.0x	12.7x	88.0%	32.4%	12.9%	12.8%	-11.6%
TOL	Toll Brothers, Inc.	Cons Disc	14,257	6.7%	0.3x	3.8x	199.9%	14.4%	10.6%	10.7%	13.4%
LOPE	Grand Canyon Education, Inc.	Cons Disc	3,951	6.5%	0.1x	2.7x	11.6%	11.0%	35.5%	29.6%	-10.4%
GWRE	Guidewire Software, Inc.	Info Tech	11,715	6.3%	0.5x	2.4x	23.3%	23.2%	14.6%	14.5%	-30.0%
VRTX	Vertex Pharmaceuticals Inc	Health Care	120,890	6.2%	0.1x	3.0x	43.6%	7.9%	21.6%	20.0%	5.1%
HPE	Hewlett Packard Enterprise	Info Tech	65,627	6.2%	0.8x	1.1x	263.4%	28.9%	10.2%	11.2%	107.5%
FFIV	F5, Inc.	Info Tech	24,331	6.1%	0.1x	1.6x	11.1%	8.2%	24.0%	22.5%	68.9%
GRMN	Garmin Ltd.	Cons Disc	46,554	6.1%	0.0x	4.3x	13.7%	19.1%	18.5%	18.3%	20.0%
P	Everpure, Inc.	Info Tech	25,605	6.0%	0.2x	1.5x	26.4%	31.7%	46.3%	40.9%	15.0%
VLTO	Veralto Corporation	Industrials	22,571	5.9%	0.9x	1.5x	4.3%	11.6%	17.3%	17.1%	-7.6%
ROST	Ross Stores, Inc.	Cons Disc	70,870	5.8%	0.7x	1.5x	6.8%	9.2%	29.9%	29.7%	23.1%
HAL	Halliburton Company	Energy	29,590	5.6%	0.7x	2.1x	10.2%	22.5%	10.4%	11.9%	26.5%
AEIS	Advanced Energy Industries	Info Tech	11,607	5.4%	0.5x	1.6x	33.3%	72.4%	18.6%	20.7%	45.9%
DOV	Dover Corporation	Industrials	28,838	5.3%	0.4x	1.9x	16.1%	12.8%	13.0%	13.3%	10.2%
PPG	PPG Industries, Inc.	Materials	25,558	5.1%	1.0x	1.6x	16.0%	13.7%	11.6%	12.3%	13.3%
DDOG	Datadog, Inc.	Info Tech	96,369	5.0%	0.3x	3.3x	24.1%	22.8%	15.1%	14.8%	99.1%

Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors. For companies without an agency rating, we applied the Refinitiv StarMine synthetic rating. Market data as of 7/14/2026.
Source: FactSet, Refinitiv, and Morgan Stanley Research.

Growing Expectations

Consensus EBIT margin is expected to increase to 16.4% over the NTM period, with outsized margin growth expected from Semis & Semi Equipment (+1100 bps), Automobiles & Components (+230 bps), Capital Goods (+150 bps), and Software & Services (+120 bps). Margins are expected to decrease the most for Pharma, Biotech & Life Sciences (-140 bps), Telecom Services (-90 bps), and Household & Personal Products (-70 bps).

Exhibit 6: Adjusted EBIT Margin by Industry Group



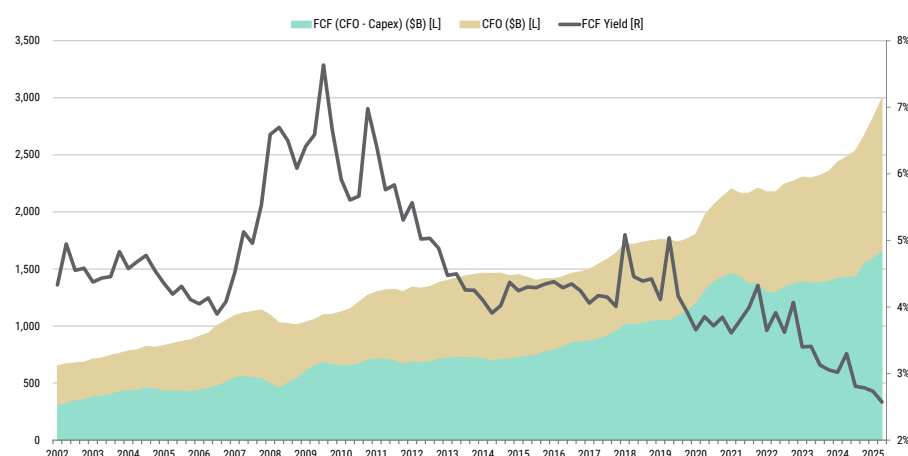
Note: Russell 1000 companies, excluding Financials, Utilities, and Real Estate sectors. EBIT margins are calculated as industry group aggregates and sorted by consensus NTM EBIT margins, which are also displayed as the data labels.
Source: FactSet and Morgan Stanley Research.

Free Cash Flow

Free cash flow measures how much cash a business has after paying all of its operating expenses and investment needs (capital expenditures + R&D). In 1Q, Russell 1000 companies generated ~\$1.7 trillion of FCF (+16% y/y) while the FCF yield fell to ~2.6%.

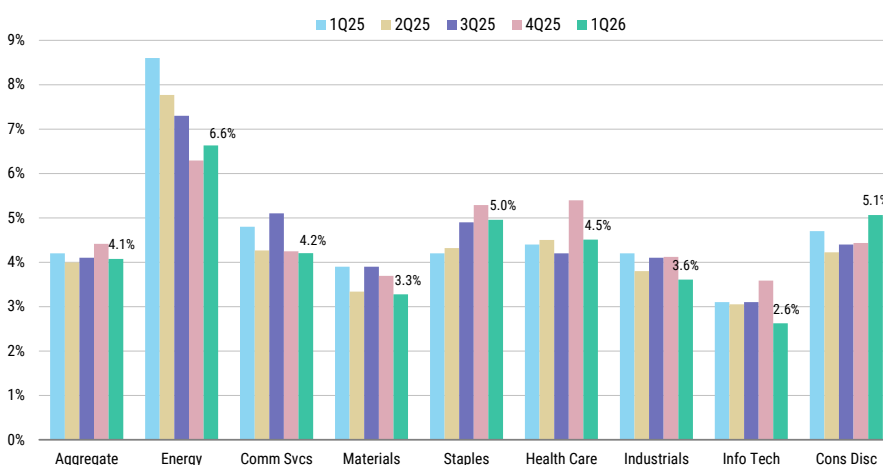
FCF yields increased the most y/y in the Consumer Staples (+80 bps) and Consumer Discretionary (+40 bps) sectors and fell by the largest amount in Energy (-200 bps), Materials (-60 bps), Communication Services (-60 bps), and Industrials (-60 bps).

Exhibit 7: Free Cash Flow Yield

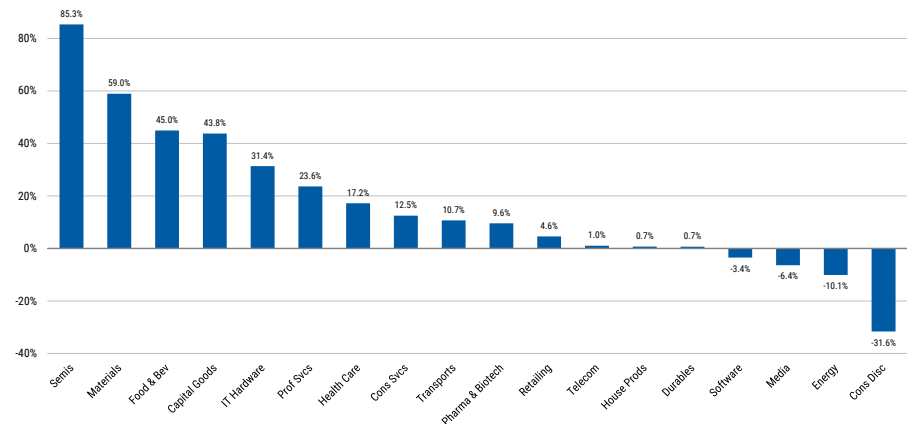


Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities.
Source: FactSet and Morgan Stanley Research.

Exhibit 8: Median Free Cash Flow Yields by Sector

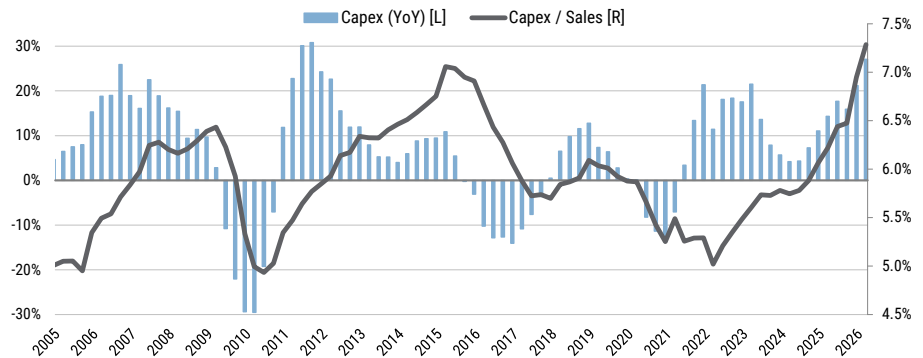


Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities.
Source: FactSet and Morgan Stanley Research.

Exhibit 9: 1Q26 LTM Free Cash Flow Growth by Industry Group

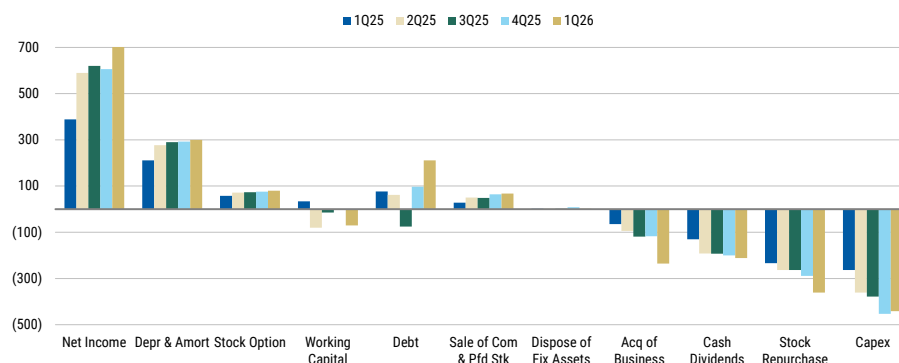
Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities. Data labels reflect the most recent quarter's y/y LTM growth.
Source: FactSet and Morgan Stanley Research.

Drilling down into the components of FCF, we found that operating cash flows increased to \$3.0 trillion (+20.6% y/y), while capex spending increased by +27.1% y/y to ~\$1.3 trillion.

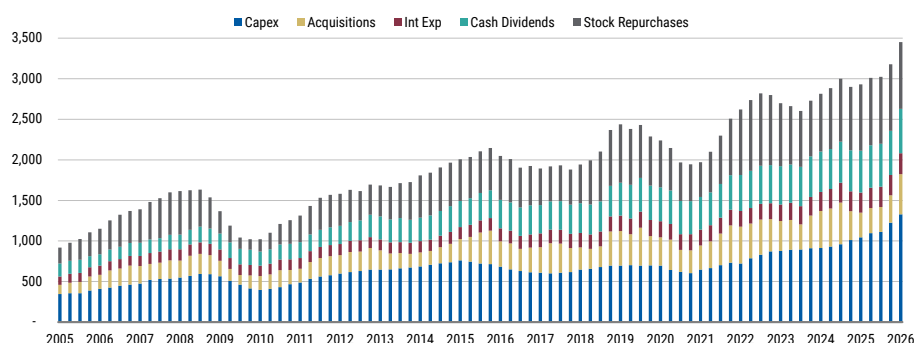
Exhibit 10: LTM Capital Expenditures

Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors. YoY changes are calculated based on quarterly capital expenditure numbers.
Source: FactSet and Morgan Stanley Research.

In addition to FCF, we aggregated the sources and uses of cash and found that companies have been reinvesting their higher net income and cash from debt issuances into greater capital expenditures, stock repurchases, and acquisitions.

Exhibit 11: Follow the Money: Sources and Uses of Cash (USD in billions)

Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Exhibit 12: Uses of Cash (USD in billions)

Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Screen #2. High Free Cash Flow Ideas

Self-financing companies may be better able to weather another downturn, deploying capital effectively and capturing any opportunities that may arise. Cash rich companies with high free cash flow yields should also have better downside protection, while providing longer-term upside potential if management is able to deploy cash effectively.

Screening Criteria:

- Russell 1000 companies, excluding Financials, Real Estate, and Utilities sectors
- Cash / EV >5.0%
- >10.0% FCF growth in each of the next two years
- >7.5% return on invested capital expected in each of the next two years

Please note, this is a quantitative screen and qualitative assessment is warranted.

Exhibit 13: High Free Cash Flow

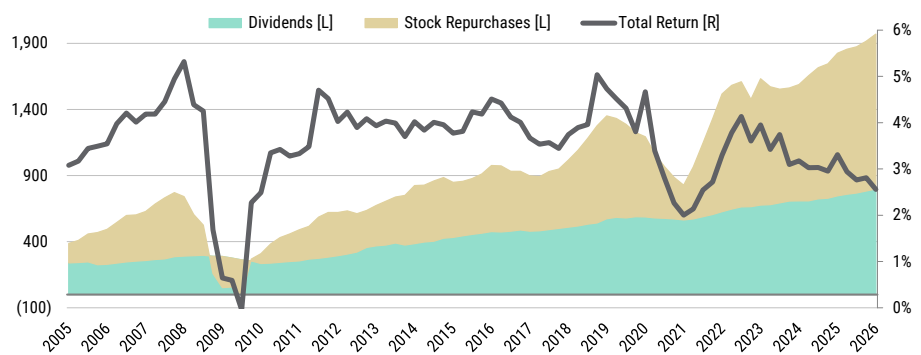
Ticker	Company	Sector	Market Cap (\$M)	Cash / EV	Debt / Equity	Current Ratio	FCF Growth FY1	FCF Growth FY2	ROIC FY1	ROIC FY2	YTD Total Return
LUV	Southwest Airlines Co.	Industrials	23,246	12.3%	0.9x	0.5x	>500%	347.4%	10.6%	14.9%	15.9%
F	Ford Motor Company	Cons Disc	55,547	16.4%	4.3x	1.1x	>500%	>500%	12.0%	12.3%	8.5%
CDE	Coeur Mining, Inc.	Materials	16,488	7.6%	0.1x	3.7x	278.3%	26.5%	15.5%	16.8%	-10.2%
HPE	Hewlett Packard Enterprise Co.	Info Tech	65,627	6.2%	0.8x	1.1x	263.4%	28.9%	10.2%	11.2%	107.5%
TOL	Toll Brothers, Inc.	Cons Disc	14,257	6.7%	0.3x	3.8x	199.9%	14.4%	10.6%	10.7%	13.4%
ALNY	Alnylam Pharmaceuticals, Inc.	Health Care	37,552	7.7%	2.8x	3.1x	118.2%	39.0%	29.8%	28.5%	-29.3%
ALGN	Align Technology, Inc.	Health Care	12,781	9.0%	0.0x	1.4x	90.3%	12.0%	17.8%	18.0%	14.3%
S	SentinelOne, Inc.	Info Tech	6,829	11.1%	0.0x	1.3x	89.1%	91.0%	8.1%	10.6%	32.8%
HL	Hecla Mining Company	Materials	10,396	6.0%	0.1x	4.9x	88.6%	39.7%	16.9%	21.5%	-19.2%
RDDT	Reddit, Inc.	Comm Svcs	39,131	7.2%	0.0x	12.7x	88.0%	32.4%	12.9%	12.8%	-11.6%
LVS	Las Vegas Sands Corp.	Cons Disc	29,673	7.8%	13.1x	0.9x	59.5%	16.9%	14.4%	14.4%	-30.3%
OGN	Organon & Co.	Health Care	3,545	10.1%	9.5x	2.0x	52.3%	23.0%	8.8%	8.8%	88.8%
AU	Anglogold Ashanti PLC	Materials	40,572	7.7%	0.3x	2.7x	51.1%	19.9%	42.5%	39.6%	-2.4%
DASH	DoorDash, Inc.	Cons Disc	81,824	7.2%	0.3x	1.4x	47.9%	44.4%	7.6%	11.2%	-17.1%
VFC	V.F. Corporation	Cons Disc	6,540	7.7%	2.7x	1.8x	43.2%	24.4%	8.1%	9.8%	-6.8%
AA	Alcoa Corporation	Materials	12,947	10.7%	0.4x	1.5x	41.7%	75.2%	18.6%	15.9%	-7.3%
ESAB	ESAB Corporation	Industrials	5,307	15.4%	1.0x	3.0x	34.6%	27.6%	8.6%	9.9%	-21.8%
OMC	Omnicom Group Inc.	Comm Svcs	23,014	13.2%	1.2x	0.9x	33.8%	10.4%	14.2%	15.6%	2.0%
NKE	NIKE, Inc. Class B	Cons Disc	63,471	13.8%	0.7x	2.0x	33.4%	13.6%	11.9%	14.7%	-31.4%
AEIS	Advanced Energy Industries, Inc.	Info Tech	11,607	5.4%	0.5x	1.6x	33.3%	72.4%	18.6%	20.7%	45.9%
NBIX	Neurocrine Biosciences, Inc.	Health Care	17,299	7.8%	0.1x	2.9x	33.2%	50.2%	18.3%	19.1%	21.3%
NEM	Newmont Corporation	Materials	101,150	8.8%	0.2x	2.4x	33.0%	18.9%	23.9%	22.7%	-4.6%
AMGN	Amgen Inc.	Health Care	191,731	5.0%	6.2x	1.3x	32.5%	14.8%	19.3%	19.1%	10.1%
PCOR	Procore Technologies Inc	Info Tech	6,494	10.1%	0.1x	1.1x	32.0%	25.6%	19.2%	20.4%	-40.8%
EL	Estee Lauder Companies Inc.	Cons Staples	29,255	8.8%	2.3x	1.3x	27.7%	62.7%	7.9%	10.2%	-22.1%
ESTC	Elastic NV	Info Tech	6,478	23.2%	0.5x	1.6x	27.6%	23.6%	16.0%	16.3%	-17.4%
HUBS	HubSpot, Inc.	Info Tech	10,739	17.7%	0.1x	1.5x	27.1%	19.1%	27.2%	24.4%	-47.7%
P	Everpure, Inc.	Info Tech	25,605	6.0%	0.2x	1.5x	26.4%	31.7%	46.3%	40.9%	15.0%
DDOG	Datadog, Inc.	Info Tech	96,369	5.0%	0.3x	3.3x	24.1%	22.8%	15.1%	14.8%	99.1%
GWRE	Guidewire Software, Inc.	Info Tech	11,715	6.3%	0.5x	2.4x	23.3%	23.2%	14.6%	14.5%	-30.0%
HAS	Hasbro, Inc.	Cons Disc	11,096	9.8%	6.0x	1.7x	21.0%	12.9%	19.6%	20.2%	-2.7%
EW	Edwards Lifesciences Corp	Health Care	51,874	7.4%	0.1x	4.4x	20.6%	25.6%	14.4%	14.8%	5.7%
ONON	On Holding AG	Cons Disc	12,492	10.5%	0.3x	3.0x	18.8%	42.6%	16.1%	16.5%	-18.8%
MDT	Medtronic Plc	Health Care	101,508	7.5%	0.6x	2.1x	17.3%	12.6%	10.1%	10.6%	-16.0%
DOV	Dover Corporation	Industrials	28,838	5.3%	0.4x	1.9x	16.1%	12.8%	13.0%	13.3%	10.2%
PPG	PPG Industries, Inc.	Materials	25,558	5.1%	1.0x	1.6x	16.0%	13.7%	11.6%	12.3%	13.3%
TWLO	Twilio, Inc.	Info Tech	33,061	7.1%	0.1x	4.7x	15.9%	15.1%	9.8%	10.7%	53.1%
ADSK	Autodesk, Inc.	Info Tech	43,449	6.7%	0.9x	0.8x	15.5%	11.3%	41.2%	37.4%	-30.4%
DT	Dynatrace, Inc.	Info Tech	13,072	9.2%	0.1x	1.3x	15.2%	18.6%	19.1%	18.5%	3.9%
WDAY	Workday, Inc.	Info Tech	34,533	12.5%	0.6x	1.0x	14.3%	15.9%	25.2%	23.6%	-34.9%
ABNB	Airbnb, Inc.	Cons Disc	86,972	15.2%	0.3x	1.4x	13.8%	11.5%	25.2%	23.1%	8.0%
GRMN	Garmin Ltd.	Cons Disc	46,554	6.1%	0.0x	4.3x	13.7%	19.1%	18.5%	18.3%	20.0%
MDB	MongoDB, Inc.	Info Tech	27,722	9.4%	0.0x	4.7x	13.5%	22.3%	15.9%	16.1%	-17.9%
PATH	UiPath, Inc.	Info Tech	6,186	25.8%	0.0x	2.2x	12.5%	14.8%	18.8%	18.9%	-27.2%
VEEV	Veeva Systems Inc.	Health Care	31,366	29.4%	0.0x	4.7x	12.4%	13.5%	16.8%	14.5%	-13.5%
AXTA	Axalta Coating Systems Ltd.	Materials	6,874	6.4%	1.3x	2.1x	12.1%	13.6%	9.5%	9.7%	-0.6%
NXT	Nextpower Inc.	Industrials	15,872	7.3%	0.0x	2.4x	11.6%	45.6%	25.6%	26.4%	20.1%
LOPE	Grand Canyon Education, Inc.	Cons Disc	3,951	6.5%	0.1x	2.7x	11.6%	11.0%	35.5%	29.6%	-10.4%
BIIB	Biogen Inc.	Health Care	28,339	13.9%	0.4x	3.1x	11.2%	10.8%	8.0%	8.8%	9.1%
HAL	Haliburton Company	Energy	29,590	5.6%	0.7x	2.1x	10.2%	22.5%	10.4%	11.9%	26.5%

Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities. Market data as of 7/14/2026.
Source: FactSet and Morgan Stanley Research.

Total Shareholder Return

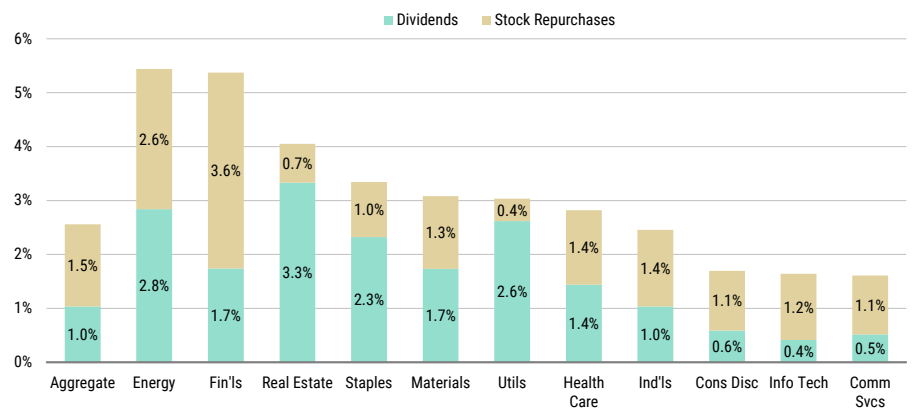
Total shareholder return increased slightly to ~\$2.0 trillion (+2.8% q/q and +8.0% y/y). \$800 billion of dividends were paid, up +6.8% y/y, and \$1.2 trillion of net share repurchases were done, up +8.7% y/y.

Exhibit 14: Total Shareholder Return (USD in billions)



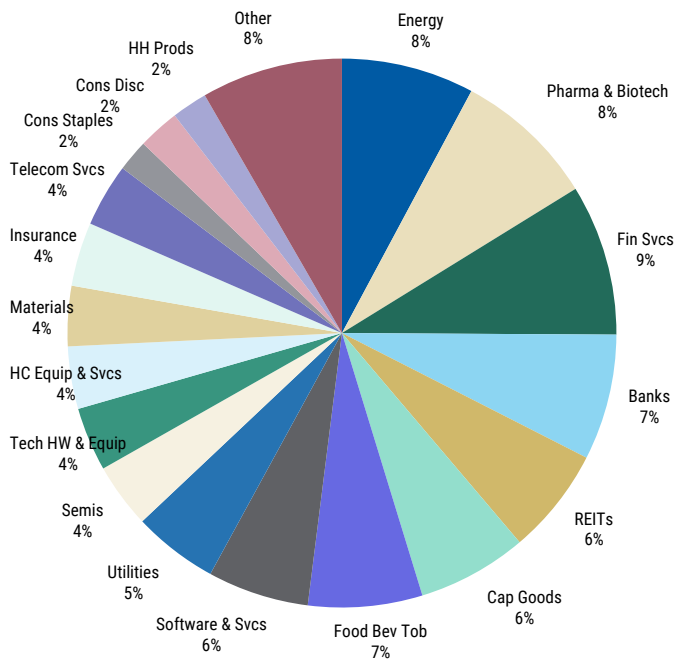
Note: Russell 1000 universe.
Source: FactSet and Morgan Stanley Research.

Exhibit 15: LTM Total Shareholder Return Yield (Dividends + Buybacks)



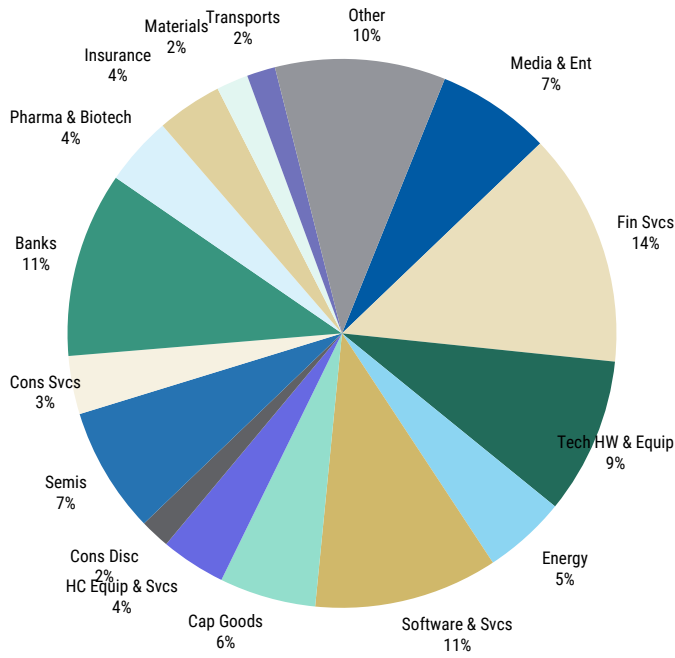
Note: Russell 1000 universe. Total shareholder return includes LTM share repurchases plus LTM dividends.
Source: FactSet and Morgan Stanley Research.

Exhibit 16: Dividends Paid by Industry Group



Note: Russell 1000 LTM data as of 1Q26.
Source: FactSet and Morgan Stanley Research.

Exhibit 17: Net Share Repurchases by Industry Group



Note: Russell 1000 LTM data as of 1Q26.
Source: FactSet and Morgan Stanley Research.

Screen #3. Total Shareholder Return Ideas

Dividends provide current income to investors, but are typically more restrictive than a free standing buyback authorization. Buybacks may indicate that management believes its stock is undervalued and could potentially reduce the total number of shares outstanding. A strong shareholder yield suggests that a company is of higher quality than lower returning alternatives, all else equal.

Screening Criteria:

- Russell 1000 companies
- Total shareholder return (dividend yield + share repurchase yield) >7.5%
- LTM dividend coverage ratio >2.0x
- Positive net income CAGR expected over the next two years
- Positive FCF CAGR expected over the next two years (non-Financials sector companies)
- Investment grade credit rating

Please note, this is a quantitative screen and qualitative assessment is warranted.

Exhibit 18: Robust Total Shareholder Return

Ticker	Company	Sector	Market Cap (\$M)	Coverage Ratio	Dividend Yield	Repurchase Yield	Total SH Return	YTD Total Return
ACI	Albertsons Companies, Inc.	Cons Staples	7,156	8.5x	3.8%	20.7%	24.5%	-13.0%
EQH	Equitable Holdings, Inc.	Financials	12,911	13.3x	2.5%	21.9%	24.3%	0.5%
WU	Western Union Company	Financials	2,462	2.7x	11.9%	9.5%	21.5%	-10.3%
PVH	PVH Corp.	Cons Disc	3,559	97.8x	0.2%	16.2%	16.4%	15.3%
AIG	American International Group, Inc.	Financials	41,886	7.2x	2.4%	13.9%	16.4%	-6.5%
LAD	Lithia Motors, Inc.	Cons Disc	7,281	25.4x	0.7%	13.2%	13.9%	-3.6%
DOX	Amdocs Limited	Info Tech	5,589	4.0x	3.9%	9.9%	13.7%	-34.0%
MORN	Morningstar, Inc.	Financials	6,483	7.3x	1.2%	12.1%	13.3%	-20.9%
ZTS	Zoetis, Inc. Class A	Health Care	31,052	3.7x	2.8%	10.4%	13.3%	-40.3%
MKTX	MarketAxess Holdings Inc.	Financials	4,082	3.4x	2.6%	10.3%	12.9%	-35.8%
LUV	Southwest Airlines Co.	Industrials	23,246	5.3x	1.6%	11.0%	12.6%	15.9%
PLNT	Planet Fitness, Inc. Class A	Cons Disc	4,028	nm	0.0%	12.5%	12.5%	-53.1%
AXS	Axis Capital Holdings Limited	Financials	8,289	6.6x	1.8%	10.7%	12.5%	5.8%
FHN	First Horizon Corporation	Financials	12,207	3.1x	2.6%	8.2%	10.8%	9.0%
MTCH	Match Group, Inc.	Comm Svcs	8,943	5.5x	1.7%	8.8%	10.5%	20.6%
ACN	Accenture Plc Class A	Info Tech	82,343	3.4x	4.7%	5.6%	10.3%	-48.0%
PEGA	Pegasystems Inc.	Info Tech	5,127	30.2x	0.4%	9.7%	10.1%	-48.5%
MTB	M&T Bank Corporation	Financials	35,418	4.2x	2.6%	7.4%	10.1%	21.5%
TNL	Travel + Leisure Co.	Cons Disc	4,571	7.6x	3.4%	6.6%	9.9%	5.5%
LVS	Las Vegas Sands Corp.	Cons Disc	29,673	5.2x	2.4%	7.5%	9.9%	-30.3%
CRM	Salesforce, Inc.	Info Tech	137,232	9.9x	0.7%	9.2%	9.8%	-36.4%
C	Citigroup Inc.	Financials	228,546	5.8x	1.8%	8.0%	9.8%	15.2%
CTSH	Cognizant Technology Solutions Corp	Info Tech	20,391	5.3x	3.0%	6.8%	9.7%	-47.4%
WFC	Wells Fargo & Company	Financials	261,004	6.9x	2.2%	7.5%	9.7%	-7.5%
TFC	Truist Financial Corporation	Financials	64,723	2.8x	4.2%	5.4%	9.7%	7.7%
GM	General Motors Company	Cons Disc	69,311	27.0x	0.9%	8.7%	9.6%	-5.0%
CHRD	Chord Energy Corporation	Energy	6,868	6.4x	4.3%	5.3%	9.6%	34.4%
BALL	Ball Corporation	Materials	16,097	6.3x	1.3%	8.2%	9.5%	14.9%
GIS	General Mills, Inc.	Cons Staples	19,459	2.0x	6.7%	2.6%	9.3%	-17.7%
FTV	Fortive Corp.	Industrials	18,499	12.3x	0.5%	8.7%	9.2%	10.1%
KBR	KBR, Inc.	Industrials	4,502	5.3x	1.8%	7.3%	9.1%	-10.8%
RF	Regions Financial Corporation	Financials	26,387	3.1x	3.7%	5.4%	9.0%	16.1%
HPQ	HP Inc.	Info Tech	22,525	4.1x	5.1%	3.8%	8.9%	13.2%
LDOS	Leidos Holdings, Inc.	Industrials	13,404	10.6x	1.6%	7.0%	8.7%	-40.5%
TPR	Tapestry, Inc.	Cons Disc	27,349	4.2x	1.1%	7.4%	8.5%	6.6%
COLM	Columbia Sportswear Company	Cons Disc	3,207	5.8x	1.9%	6.3%	8.2%	14.9%
SSNC	SS&C Technologies Holdings, Inc.	Industrials	16,085	7.2x	1.7%	6.4%	8.1%	-23.0%
CHDN	Churchill Downs Incorporated	Cons Disc	5,820	25.2x	0.6%	7.4%	7.9%	-26.6%
JCI	Johnson Controls International plc	Industrials	88,613	2.2x	1.1%	6.8%	7.9%	22.0%
LW	Lamb Weston Holdings, Inc.	Cons Staples	6,420	3.8x	3.2%	4.6%	7.8%	12.8%
EG	Everest Group, Ltd.	Financials	14,715	5.4x	2.2%	5.6%	7.8%	10.8%
CHE	Chemed Corporation	Health Care	6,529	11.5x	1.0%	6.6%	7.6%	15.2%
BAC	Bank of America Corp	Financials	430,195	4.4x	2.0%	5.6%	7.6%	11.2%
EMN	Eastman Chemical Company	Materials	7,688	3.0x	6.3%	1.3%	7.6%	8.0%
GPV	Global Payments Inc.	Financials	20,759	12.6x	1.7%	5.9%	7.6%	-1.3%
AMP	Ameriprise Financial, Inc.	Financials	46,621	6.5x	1.4%	6.2%	7.6%	6.4%
OMC	Omnicom Group Inc	Comm Svcs	23,014	4.1x	4.4%	3.1%	7.5%	2.0%
VNT	Vontier Corp	Info Tech	4,134	38.6x	0.2%	7.3%	7.5%	-20.9%
CG	Carlyle Group Inc	Financials	16,372	2.0x	3.3%	4.2%	7.5%	-21.9%

Note: Russell 1000 universe. For companies without an agency rating, we applied the Refinitiv StarMine synthetic rating. SH = shareholder. nm = not meaningful. Market data as of 7/14/2026.

Source: FactSet, Refinitiv, and Morgan Stanley Research.

Cash Efficiency Is Key

The Cash Conversion Cycle (CCC) is a heuristic measure that estimates how long it takes a company to convert an inventory investment into cash. Assessing trends in these components can yield insight into working capital and free cash flow trends. Furthermore, CCC may be an underutilized tool by the investment community as academic research has shown CCC's effectiveness in gauging short-term funding risks and as a robust source of alpha (e.g., [Wang \(2018\)](#)).

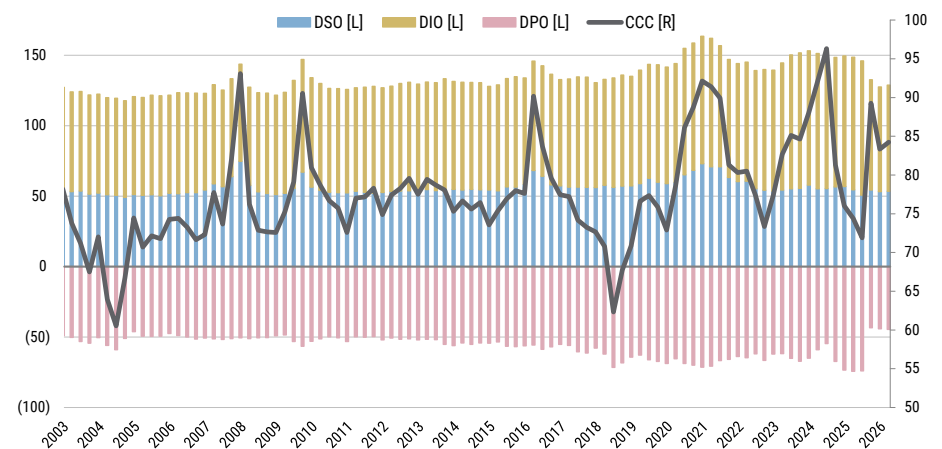
The Russell 1000's CCC increased to 84 days, up +1 day q/q (+1.1%) and +10 days y/y (+13.3%), with the slowing coming from a less favorable days inventory outstanding.

$CCC = \text{days inventory outstanding} + \text{days sales outstanding} - \text{days payables outstanding}$

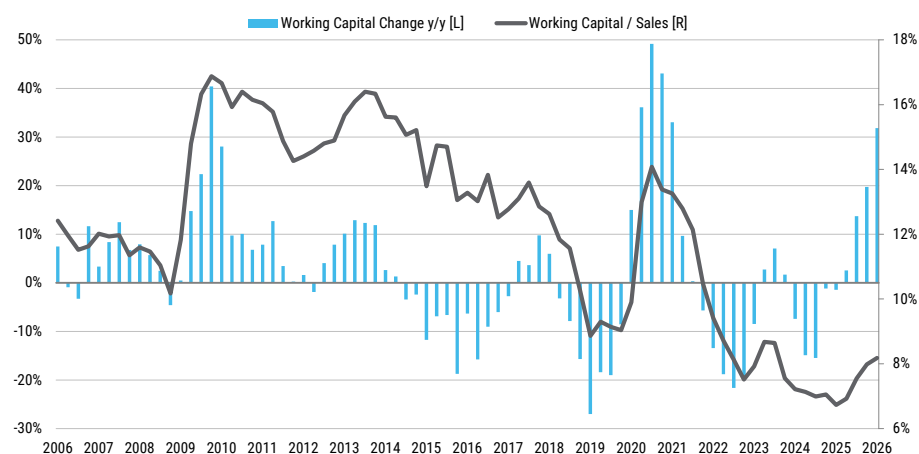
where:

- Days inventory outstanding [DIO] = $\text{average inventory} / (\text{COGS}/365)$
- Days sale outstanding [DSO] = $\text{average accounts receivable} / (\text{net sales}/365)$
- Days payables outstanding [DPO] = $\text{average accounts payable} / (\text{COGS}/365)$

Exhibit 19: Cash Conversion Cycle



Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Exhibit 20: Change in Working Capital

Note: Russell 1000 universe, excluding Financials, Real Estate, and Utilities sectors.
Source: FactSet and Morgan Stanley Research.

Screen #4. Cash Conversion Ideas

A positive (and/or growing) CCC means that operating cash is needed to finance further growth of the business. On the flip side, a negative CCC means that a company sells and collects cash faster than it needs to pay its suppliers, implying that the company's suppliers are financing the company's operations.

Screening Criteria - Weak CCC:

- Russell 1000 companies, excluding Financials, Real Estate, Utilities, and Comm Services sectors
- Inventory / Sales >5.0%
- Bottom decile of each GICS industry group

Screening Criteria - Strong CCC:

- Russell 1000 companies, excluding Financials, Real Estate, Utilities, and Comm Services sectors
- Inventory / Sales >5.0%
- Top decile of each GICS industry group

Screening Criteria - Biggest CCC Changes:

- Russell 1000 companies, excluding Financials, Real Estate, Utilities, and Comm Services sectors
- Inventory / Sales >5.0%
- Top 50 stocks with biggest y/y CCC percentage increases and decreases

Please note, this is a quantitative screen and qualitative assessment is warranted.

Exhibit 21: Cash Conversion Cycle: Weakest Decile

Ticker	Company	Sector	Industry Group	Market Cap (\$M)	CCC 1Q25	CCC 1Q26	Δ in CCC	YTD Total Return
GNTX	Gentex Corporation	Cons Disc	Autos & Comps	5,047	110.8	106.9	-3.9	3.4%
F	Ford Motor Company	Cons Disc	Autos & Comps	55,547	110.1	105.2	-4.9	8.5%
OLLI	Ollie's Bargain Outlet Holdings Inc	Cons Disc	Cons Disc Dist & Retail	3,986	116.4	112.3	-4.0	-39.8%
POOL	Pool Corporation	Cons Disc	Cons Disc Dist & Retail	7,656	91.7	100.3	8.6	-7.1%
LKQ	LKQ Corporation	Cons Disc	Cons Disc Dist & Retail	6,334	97.9	97.1	-0.8	-15.7%
DHI	D.R. Horton, Inc.	Cons Disc	Durables & Apparel	42,534	342.4	359.6	17.2	4.8%
BIRK	Birkenstock Holding plc	Cons Disc	Durables & Apparel	8,158	279.3	276.3	-3.0	8.5%
GRMN	Garmin Ltd.	Cons Disc	Durables & Apparel	46,554	203.0	210.1	7.0	20.0%
DG	Dollar General Corporation	Cons Staples	Cons Staples Dist & Retail	26,501	37.8	30.1	-7.6	-8.2%
PFGC	Performance Food Group Co	Cons Staples	Cons Staples Dist & Retail	17,750	20.0	19.5	-0.5	25.7%
BF.B	Brown-Forman Corporation Class B	Cons Staples	Food Bev & Tobacco	11,517	465.3	497.8	32.5	-1.9%
PM	Philip Morris International Inc.	Cons Staples	Food Bev & Tobacco	274,229	217.3	237.2	19.9	11.5%
INGR	Ingredion Incorporated	Cons Staples	Food Bev & Tobacco	6,192	106.7	106.6	-0.1	-8.7%
ELF	e.l.f. Beauty, Inc.	Cons Staples	Household & Pers Prods	4,258	131.5	114.3	-17.2	-5.0%
EL	Estee Lauder Companies Inc. Class A	Cons Staples	Household & Pers Prods	29,255	121.4	107.2	-14.3	-22.1%
NOV	NOV Inc.	Energy	Energy	6,927	175.4	157.9	-17.5	25.2%
WFRD	Weatherford International plc	Energy	Energy	5,883	102.1	110.0	7.9	5.5%
PEN	Penumbra, Inc.	Health Care	Health Care Equip & Svcs	12,439	356.2	338.2	-18.0	1.7%
EW	Edwards Lifesciences Corporation	Health Care	Health Care Equip & Svcs	51,874	349.2	297.1	-52.1	5.7%
ZBH	Zimmer Biomet Holdings, Inc.	Health Care	Health Care Equip & Svcs	17,611	320.4	288.7	-31.7	1.8%
ASND	Ascendis Pharma A/S	Health Care	Pharma Biotech & Life Sci	16,495	1,255.2	838.5	-416.7	24.5%
BMRN	BioMarin Pharmaceutical Inc.	Health Care	Pharma Biotech & Life Sci	11,334	640.3	525.8	-114.5	-1.3%
REGN	Regeneron Pharmaceuticals, Inc.	Health Care	Pharma Biotech & Life Sci	68,787	487.1	427.2	-59.9	-14.8%
LLY	Eli Lilly and Company	Health Care	Pharma Biotech & Life Sci	1,085,394	314.4	351.9	37.5	7.6%
CNH	CNH Industrial NV	Industrials	Capital Goods	12,920	539.8	551.5	11.7	14.1%
BA	Boeing Company	Industrials	Capital Goods	171,148	456.4	365.1	-91.3	0.0%
RBC	RBC Bearings Incorporated	Industrials	Capital Goods	18,607	255.8	256.8	0.9	31.2%
TDG	TransDigm Group Incorporated	Industrials	Capital Goods	67,978	230.6	240.6	9.9	-8.6%
SNA	Snap-on Incorporated	Industrials	Capital Goods	20,960	217.4	217.4	0.1	18.8%
VICR	Vicor Corporation	Industrials	Capital Goods	12,056	236.9	206.5	-30.5	141.3%
AXON	Axon Enterprise Inc	Industrials	Capital Goods	44,110	218.3	206.4	-11.9	-3.6%
FTAI	FTAI Aviation Ltd.	Industrials	Capital Goods	21,155	146.0	204.1	58.1	5.2%
HEI	HEICO Corporation	Industrials	Capital Goods	48,268	206.2	199.1	-7.1	6.9%
HAYW	Hayward Holdings, Inc.	Industrials	Capital Goods	3,445	205.3	196.1	-9.2	2.8%
BE	Bloom Energy Corporation Class A	Industrials	Capital Goods	69,234	260.4	194.0	-66.4	180.1%
OLED	Universal Display Corporation	Info Tech	Semis & Semi Equip	3,677	450.1	515.2	65.1	-31.8%
ONTO	Onto Innovation, Inc.	Info Tech	Semis & Semi Equip	15,884	272.0	264.6	-7.4	102.3%
KLAC	KLA Corporation	Info Tech	Semis & Semi Equip	300,928	282.6	263.1	-19.5	89.9%
TXN	Texas Instruments Incorporated	Info Tech	Semis & Semi Equip	278,079	242.5	223.4	-19.1	77.8%
ANET	Arista Networks Inc	Info Tech	Tech Hardware & Equip	229,892	291.2	240.8	-50.4	39.3%
AAOI	Applied Optoelectronics, Inc.	Info Tech	Tech Hardware & Equip	10,066	163.3	218.8	55.5	259.9%
IPGP	IPG Photonics Corporation	Info Tech	Tech Hardware & Equip	4,519	261.8	211.9	-49.9	48.7%
KEYS	Keysight Technologies Inc	Info Tech	Tech Hardware & Equip	55,666	237.5	201.1	-36.4	60.3%
MP	MP Materials Corp Class A	Materials	Materials	9,042	255.6	266.9	11.3	0.5%
CTVA	Corteva Inc	Materials	Materials	56,790	229.8	220.0	-9.8	27.2%
SMG	Scotts Miracle-Gro Company Class A	Materials	Materials	3,731	147.0	137.0	-10.1	12.2%
ESI	Element Solutions Inc	Materials	Materials	9,906	105.7	117.2	11.5	63.3%
MLM	Martin Marietta Materials, Inc.	Materials	Materials	34,451	117.4	111.8	-5.6	-7.6%

Note: Russell 1000 companies with >5.0% inventory/sales, excluding Financials, Real Estate, Utilities, and Communication Services sectors. Market data as of 7/14/2026.

Source: FactSet and Morgan Stanley Research.

Exhibit 22: Cash Conversion Cycle: Strongest Decile

Ticker	Company	Sector	Industry Group	Market Cap (\$M)	CCC 1Q25	CCC 1Q26	Δ in CCC	YTD Total Return
TSLA	Tesla, Inc.	Cons Disc	Autos & Comps	1,487,941	16.2	15.2	-1.0	-11.9%
LEA	Lear Corporation	Cons Disc	Autos & Comps	6,808	33.1	32.1	-1.0	19.9%
CPNG	Coupage, Inc. Class A	Cons Disc	Cons Disc Dist & Retail	31,844	-52.0	-51.0	1.0	-24.8%
AMZN	Amazon.com, Inc.	Cons Disc	Cons Disc Dist & Retail	2,662,275	-23.9	-40.0	-16.1	7.2%
ORLY	O'Reilly Automotive, Inc.	Cons Disc	Cons Disc Dist & Retail	71,062	-35.4	-27.3	8.1	-6.0%
WHR	Whirlpool Corporation	Cons Disc	Durables & Apparel	2,505	6.7	-0.1	-6.8	-45.2%
SIG	Somnigroup International Inc.	Cons Disc	Durables & Apparel	15,201	52.7	31.7	-21.0	-18.7%
DECK	Deckers Outdoor Corporation	Cons Disc	Durables & Apparel	14,805	42.4	37.3	-5.1	2.8%
COST	Costco Wholesale Corporation	Cons Staples	Cons Staples Dist & Retail	408,777	1.8	1.2	-0.6	7.2%
WMT	Walmart Inc.	Cons Staples	Cons Staples Dist & Retail	904,834	4.8	5.3	0.5	2.5%
KO	Coca-Cola Company	Cons Staples	Food Bev & Tobacco	357,450	-221.5	-175.3	46.2	20.4%
PEP	PepsiCo, Inc.	Cons Staples	Food Bev & Tobacco	184,874	-103.5	-99.3	4.2	-3.6%
TAP	Molson Coors Beverage Company	Cons Staples	Food Bev & Tobacco	6,908	-59.0	-55.2	3.8	-14.7%
CLX	Clorox Company	Cons Staples	Household & Pers Prods	11,457	-80.3	-76.7	3.6	-3.6%
PG	Procter & Gamble Company	Cons Staples	Household & Pers Prods	340,162	-33.8	-33.7	0.1	3.4%
XOM	Exxonmobil Holdings Corporation	Energy	Energy	601,320	-5.3	-4.1	1.2	22.3%
CVX	Chevron Corporation	Energy	Energy	361,993	12.8	16.3	3.5	21.6%
BDX	Becton, Dickinson and Company	Health Care	Health Care Equip & Svcs	41,510	-7.1	-35.4	-28.3	0.2%
COR	Cencora, Inc.	Health Care	Health Care Equip & Svcs	58,812	-8.7	-9.1	-0.4	-10.1%
CAH	Cardinal Health, Inc.	Health Care	Health Care Equip & Svcs	53,893	-7.1	-8.0	-0.9	12.7%
ABBV	AbbVie, Inc.	Health Care	Pharma Biotech & Life Sci	432,475	-493.4	-453.1	40.4	8.6%
UTHR	United Therapeutics Corporation	Health Care	Pharma Biotech & Life Sci	22,355	-130.9	-176.4	-45.5	8.1%
MRNA	Moderna, Inc.	Health Care	Pharma Biotech & Life Sci	26,759	36.3	27.0	-9.3	128.7%
SHC	Sotera Health Company	Health Care	Pharma Biotech & Life Sci	5,067	46.0	44.4	-1.6	0.7%
PCAR	PACCAR Inc	Industrials	Capital Goods	65,228	-28.8	-30.0	-1.2	13.8%
FTV	Fortive Corp.	Industrials	Capital Goods	18,499	63.2	31.6	-31.6	10.1%
AWI	Armstrong World Industries, Inc.	Industrials	Capital Goods	6,638	42.8	41.9	-0.9	-18.3%
CARR	Carrier Global Corp.	Industrials	Capital Goods	57,941	51.4	50.4	-1.0	32.9%
BLDR	Builders FirstSource, Inc.	Industrials	Capital Goods	8,084	49.9	51.5	1.6	-27.0%
AOS	A. O. Smith Corporation	Industrials	Capital Goods	8,390	55.8	54.5	-1.3	-7.9%
JCI	Johnson Controls International plc	Industrials	Capital Goods	88,613	59.5	56.8	-2.7	22.0%
AYI	Acuity Inc.	Industrials	Capital Goods	9,803	62.2	60.5	-1.7	-8.9%
FERG	Ferguson Enterprises Inc.	Industrials	Capital Goods	45,513	58.5	61.3	2.8	6.6%
OC	Owens Corning	Industrials	Capital Goods	11,504	57.6	63.2	5.7	29.1%
TT	Trane Technologies plc	Industrials	Capital Goods	106,891	66.8	66.1	-0.7	24.8%
AMKR	Amkor Technology, Inc.	Info Tech	Semis & Semi Equip	17,401	43.1	42.9	-0.2	78.2%
ALAB	Aster Labs, Inc.	Info Tech	Semis & Semi Equip	62,012	102.7	59.3	-43.4	117.5%
INTC	Intel Corporation	Info Tech	Semis & Semi Equip	541,602	46.3	86.0	39.6	192.0%
FORM	FormFactor, Inc.	Info Tech	Semis & Semi Equip	9,068	85.2	90.9	5.8	108.6%
HPQ	HP Inc.	Info Tech	Tech Hardware & Equip	22,525	-10.6	-13.0	-2.3	13.2%
DELL	Dell Technologies, Inc. Class C	Info Tech	Tech Hardware & Equip	296,615	-24.1	-6.1	17.9	264.4%
JBL	Jabil Inc.	Info Tech	Tech Hardware & Equip	34,246	36.0	17.1	-18.9	43.4%
INGM	Ingram Micro Holding Corporation	Info Tech	Tech Hardware & Equip	6,822	30.9	27.0	-4.0	38.8%
APD	Air Products and Chemicals, Inc.	Materials	Materials	66,671	-25.2	-23.6	1.7	23.4%
CF	CF Industries Holdings, Inc.	Materials	Materials	18,311	11.5	11.4	-0.1	55.4%
PPG	PPG Industries, Inc.	Materials	Materials	25,558	6.8	15.3	8.5	13.3%
CCK	Crown Holdings, Inc.	Materials	Materials	12,236	26.2	24.7	-1.5	7.0%
BALL	Ball Corporation	Materials	Materials	16,097	27.9	29.4	1.5	14.9%

Note: Russell 1000 companies with >5.0% inventory/sales, excluding Financials, Real Estate, Utilities, and Communication Services sectors.

Market data as of 7/14/2026.

Source: FactSet and Morgan Stanley Research.

Exhibit 23: 50 Largest CCC % Increases

Ticker	Company	Sector	Industry Group	Market Cap (\$M)	CCC 1Q25	CCC 1Q26	% Δ In CCC	YTD Total Return
CDNS	Cadence Design Systems, Inc.	Info Tech	Software & Services	103,927	-100.9	46.2	145.8%	20.5%
PPG	PPG Industries, Inc.	Materials	Materials	25,558	6.8	15.3	126.2%	13.3%
AZO	AutoZone, Inc.	Cons Disc	Cons Disc Dist & Retail	49,500	-13.6	-1.9	86.2%	-10.6%
INTC	Intel Corporation	Info Tech	Semis & Semi Equip	541,602	46.3	86.0	85.6%	192.0%
DELL	Dell Technologies, Inc. Class C	Info Tech	Tech Hardware & Equip	296,615	-24.1	-6.1	74.5%	264.4%
GFS	GlobalFoundries Inc.	Info Tech	Semis & Semi Equip	34,782	103.1	166.3	61.3%	81.9%
OXY	Occidental Petroleum Corporation	Energy	Energy	54,277	15.9	25.5	60.9%	34.0%
KVUE	Kenvue, Inc.	Cons Staples	Household & Pers Prods	36,019	10.1	15.9	57.3%	11.2%
ALSN	Allison Transmission Holdings, Inc.	Industrials	Capital Goods	9,543	62.6	96.3	53.7%	18.1%
KDP	Keurig Dr Pepper Inc.	Cons Staples	Food Bev & Tobacco	41,171	-40.2	-19.1	52.5%	10.5%
SLB	SLB Limited	Energy	Energy	71,075	15.3	22.6	47.5%	25.4%
GE	GE Aerospace	Industrials	Capital Goods	369,061	94.3	135.1	43.2%	15.1%
CDE	Coeur Mining, Inc.	Materials	Materials	16,488	75.3	107.1	42.2%	-10.2%
FTAI	FTAI Aviation Ltd.	Industrials	Capital Goods	21,155	146.0	204.1	39.8%	5.2%
CHWY	Chewy, Inc. Class A	Cons Disc	Cons Disc Dist & Retail	8,332	-10.0	-6.3	37.5%	-38.4%
GPC	Genuine Parts Company	Cons Disc	Cons Disc Dist & Retail	16,812	37.1	49.8	34.4%	1.1%
AAOI	Applied Optoelectronics, Inc.	Info Tech	Tech Hardware & Equip	10,066	163.3	218.8	34.0%	259.9%
NVDA	NVIDIA Corporation	Info Tech	Semis & Semi Equip	5,125,560	76.3	102.0	33.7%	13.7%
SMCI	Super Micro Computer, Inc.	Info Tech	Tech Hardware & Equip	17,886	96.2	127.9	33.0%	-5.5%
ENPH	Enphase Energy, Inc.	Info Tech	Semis & Semi Equip	5,929	122.0	161.8	32.7%	40.4%
WAT	Waters Corporation	Health Care	Pharma Biotech & Life Sci	36,956	206.0	269.6	30.9%	-0.9%
LII	Lennox International Inc.	Industrials	Capital Goods	19,584	80.4	104.9	30.4%	16.4%
VRTX	Vertex Pharmaceuticals Incorporated	Health Care	Pharma Biotech & Life Sci	120,890	245.9	314.0	27.7%	5.1%
CVX	Chevron Corporation	Energy	Energy	361,993	12.8	16.3	27.4%	21.6%
NEM	Newmont Corporation	Materials	Materials	101,150	60.5	76.8	26.9%	-4.6%
LPX	Louisiana-Pacific Corporation	Industrials	Capital Goods	5,269	56.2	71.2	26.5%	-5.9%
ORLY	O'Reilly Automotive, Inc.	Cons Disc	Cons Disc Dist & Retail	71,062	-35.4	-27.3	22.8%	-6.0%
XOM	Exxonmobil Holdings Corporation	Energy	Energy	601,320	-5.3	-4.1	22.1%	22.3%
KO	Coca-Cola Company	Cons Staples	Food Bev & Tobacco	357,450	-221.5	-175.3	20.8%	20.4%
SNX	TD SYNNEX Corporation	Info Tech	Tech Hardware & Equip	20,226	30.2	35.9	18.7%	69.0%
GTLS	Chart Industries, Inc.	Industrials	Capital Goods	10,048	73.0	86.4	18.4%	1.8%
HUBB	Hubbell Incorporated	Industrials	Capital Goods	25,570	84.9	100.5	18.4%	9.6%
ITT	ITT, Inc.	Industrials	Capital Goods	17,427	105.3	123.7	17.5%	12.8%
GIS	General Mills, Inc.	Cons Staples	Food Bev & Tobacco	19,459	-23.8	-19.7	17.2%	-17.7%
MO	Altria Group, Inc.	Cons Staples	Food Bev & Tobacco	117,159	40.6	47.5	17.0%	25.4%
ACI	Albertsons Companies, Inc. Class A	Cons Staples	Cons Staples Dist & Retail	7,156	8.5	10.0	16.9%	-13.0%
CPB	Campbell's Company	Cons Staples	Food Bev & Tobacco	6,590	22.6	26.1	15.7%	-16.5%
SW	Smurfit Westrock PLC	Materials	Materials	22,505	53.2	60.9	14.5%	13.3%
OLED	Universal Display Corporation	Info Tech	Semis & Semi Equip	3,677	450.1	515.2	14.5%	-31.8%
GME	GameStop Corp. Class A	Cons Disc	Cons Disc Dist & Retail	10,064	45.4	51.7	13.9%	11.7%
CSCO	Cisco Systems, Inc.	Info Tech	Tech Hardware & Equip	461,502	79.2	89.8	13.5%	53.6%
MSI	Motorola Solutions, Inc.	Info Tech	Tech Hardware & Equip	68,674	99.5	112.2	12.7%	8.6%
DOW	Dow, Inc.	Materials	Materials	21,846	76.9	86.7	12.7%	32.6%
WAB	Westinghouse Air Brake Technologies Co	Industrials	Capital Goods	44,459	113.4	127.7	12.6%	23.0%
HD	Home Depot, Inc.	Cons Disc	Cons Disc Dist & Retail	336,766	46.6	52.4	12.4%	-0.5%
POWL	Powell Industries, Inc.	Industrials	Capital Goods	8,534	101.6	113.8	12.1%	120.6%
QCOM	QUALCOMM Incorporated	Info Tech	Semis & Semi Equip	187,717	102.4	114.6	12.0%	5.2%
LLY	Eli Lilly and Company	Health Care	Pharma Biotech & Life Sci	1,085,394	314.4	351.9	11.9%	7.6%
SANM	Sanmina Corporation	Info Tech	Tech Hardware & Equip	11,126	83.1	93.0	11.9%	38.3%
AAON	AAON, Inc.	Industrials	Capital Goods	9,250	137.4	153.5	11.8%	48.4%

Note: Russell 1000 companies with >5.0% inventory/sales, excluding Financials, Real Estate, Utilities, and Communication Services sectors. Market data as of 7/14/2026.

Source: FactSet and Morgan Stanley Research.

Exhibit 24: 50 Largest CCC % Decreases

Ticker	Company	Sector	Industry Group	Market Cap (\$M)	CCC 1Q25	CCC 1Q26	% Δ In CCC	YTD Total Return
BDX	Becton, Dickinson and Company	Health Care	Health Care Equip & Svcs	41,510	-7.1	-35.4	-396.9%	0.2%
KMB	Kimberly-Clark Corporation	Cons Staples	Household & Pers Prods	35,458	-7.9	-18.4	-133.5%	8.4%
WHR	Whirlpool Corporation	Cons Disc	Durables & Apparel	2,505	6.7	-0.1	-101.3%	-45.2%
AMZN	Amazon.com, Inc.	Cons Disc	Cons Disc Dist & Retail	2,662,275	-23.9	-40.0	-67.3%	7.2%
MDGL	Madrigal Pharmaceuticals, Inc.	Health Care	Pharma Biotech & Life Sci	12,378	710.0	284.6	-59.9%	-7.8%
JBL	Jabil Inc.	Info Tech	Tech Hardware & Equip	34,246	36.0	17.1	-52.5%	43.4%
FTV	Fortive Corp.	Industrials	Capital Goods	18,499	63.2	31.6	-50.0%	10.1%
TFX	Teleflex Incorporated	Health Care	Health Care Equip & Svcs	5,762	256.5	146.8	-42.8%	7.2%
IP	International Paper Company	Materials	Materials	19,327	62.8	36.1	-42.5%	-5.0%
ALAB	Astera Labs, Inc.	Info Tech	Semis & Semi Equip	62,012	102.7	59.3	-42.3%	117.5%
SGI	Somnigroup International Inc.	Cons Disc	Durables & Apparel	15,201	52.7	31.7	-39.9%	-18.7%
UTHR	United Therapeutics Corporation	Health Care	Pharma Biotech & Life Sci	22,355	-130.9	-176.4	-34.8%	8.1%
CIEN	Ciena Corporation	Info Tech	Tech Hardware & Equip	63,264	167.6	110.3	-34.2%	91.1%
ASND	Ascendis Pharma A/S	Health Care	Pharma Biotech & Life Sci	16,495	1,255.2	838.5	-33.2%	24.5%
SNPS	Synopsys, Inc.	Info Tech	Software & Services	81,551	172.5	118.2	-31.5%	-9.3%
COST	Costco Wholesale Corporation	Cons Staples	Cons Staples Dist & Retail	408,777	1.8	1.2	-31.2%	7.2%
RIVN	Rivian Automotive, Inc. Class A	Cons Disc	Autos & Comps	25,329	142.9	98.9	-30.8%	-11.2%
DD	DuPont de Nemours, Inc.	Materials	Materials	18,115	124.5	87.2	-30.0%	12.2%
AVAV	AeroVironment, Inc.	Industrials	Capital Goods	7,261	209.4	146.7	-29.9%	-40.7%
HSY	Hershey Company	Cons Staples	Food Bev & Tobacco	34,780	45.7	32.1	-29.7%	-4.2%
WDC	Western Digital Corporation	Info Tech	Tech Hardware & Equip	194,166	66.4	46.8	-29.4%	227.2%
CGNX	Cognex Corporation	Info Tech	Tech Hardware & Equip	10,822	216.9	160.3	-26.1%	81.2%
ALB	Albemarle Corporation	Materials	Materials	15,184	121.6	90.1	-25.9%	-8.4%
MRNA	Moderna, Inc.	Health Care	Pharma Biotech & Life Sci	26,759	36.3	27.0	-25.5%	128.7%
BE	Bloom Energy Corporation Class A	Industrials	Capital Goods	69,234	260.4	194.0	-25.5%	180.1%
GH	Guardant Health, Inc.	Health Care	Health Care Equip & Svcs	21,231	81.8	61.2	-25.2%	56.8%
BBWI	Bath & Body Works, Inc.	Cons Disc	Cons Disc Dist & Retail	4,039	43.1	32.6	-24.5%	1.8%
LSCC	Lattice Semiconductor Corporation	Info Tech	Semis & Semi Equip	18,347	189.3	143.3	-24.3%	82.0%
SITM	SiTime Corporation	Info Tech	Semis & Semi Equip	16,467	236.0	179.1	-24.1%	76.6%
BMJ	Bristol-Myers Squibb Company	Health Care	Pharma Biotech & Life Sci	116,296	90.8	69.7	-23.3%	9.1%
CHD	Church & Dwight Co., Inc.	Cons Staples	Household & Pers Prods	22,607	28.7	22.0	-23.3%	14.5%
UI	Ubiquiti Inc.	Info Tech	Tech Hardware & Equip	33,258	186.9	144.2	-22.8%	-0.4%
HPQ	HP Inc.	Info Tech	Tech Hardware & Equip	22,525	-10.6	-13.0	-22.0%	13.2%
PODD	Insulet Corporation	Health Care	Health Care Equip & Svcs	11,021	272.8	215.1	-21.1%	-44.0%
ARW	Arrow Electronics, Inc.	Info Tech	Tech Hardware & Equip	10,559	78.8	62.3	-21.0%	87.4%
CL	Colgate-Palmolive Company	Cons Staples	Household & Pers Prods	72,841	48.3	38.2	-20.8%	16.5%
FTNT	Fortinet, Inc.	Info Tech	Software & Services	122,228	130.8	103.7	-20.8%	110.1%
TER	Teradyne, Inc.	Info Tech	Semis & Semi Equip	55,295	232.4	184.4	-20.7%	82.6%
MCHP	Microchip Technology Incorporated	Info Tech	Semis & Semi Equip	47,301	242.8	193.3	-20.4%	38.1%
DG	Dollar General Corporation	Cons Staples	Cons Staples Dist & Retail	26,501	37.8	30.1	-20.2%	-8.2%
CELH	Celsius Holdings, Inc.	Cons Staples	Food Bev & Tobacco	7,705	125.4	100.2	-20.1%	-34.1%
HALO	Halozyme Therapeutics, Inc.	Health Care	Pharma Biotech & Life Sci	8,902	302.4	241.8	-20.0%	11.5%
LEN	Lennar Corporation Class A	Cons Disc	Durables & Apparel	20,165	211.3	169.0	-20.0%	-17.1%
BA	Boeing Company	Industrials	Capital Goods	171,148	456.4	365.1	-20.0%	0.0%
HAS	Hasbro, Inc.	Cons Disc	Durables & Apparel	11,096	76.9	61.8	-19.7%	-2.7%
JHX	James Hardie Industries PLC	Materials	Materials	14,961	51.7	41.6	-19.6%	24.2%
LITE	Lumentum Holdings, Inc.	Info Tech	Tech Hardware & Equip	63,391	140.3	113.1	-19.4%	121.1%
IPGP	IPG Photonics Corporation	Info Tech	Tech Hardware & Equip	4,519	261.8	211.9	-19.1%	48.7%
FSLR	First Solar, Inc.	Info Tech	Semis & Semi Equip	23,702	252.5	204.8	-18.9%	-15.6%
LRCX	Lam Research Corporation	Info Tech	Semis & Semi Equip	432,822	210.0	170.5	-18.8%	102.5%

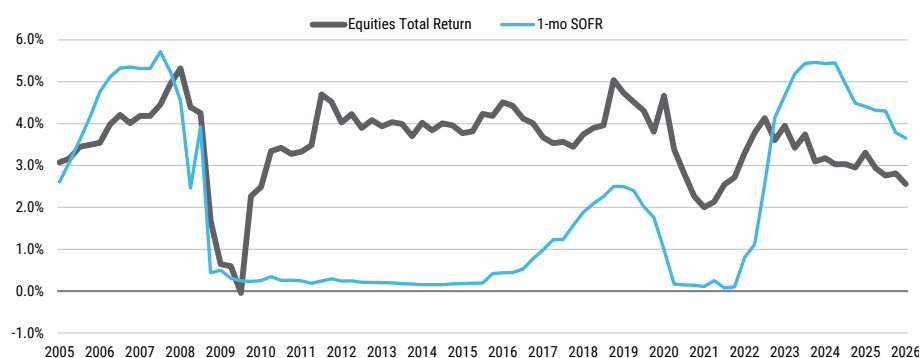
Note: Russell 1000 companies with >5.0% inventory/sales, excluding Financials, Real Estate, Utilities, and Communication Services sectors. Market data as of 7/14/2026.

Source: FactSet and Morgan Stanley Research.

Cash and Interest

Higher interest rates allow companies with ample reserves to generate extra interest income, but on the other hand, they can also create a more difficult and costly environment for companies that need to issue new debt or refinance existing loans. While interest rates have been trending lower, companies should still be able to earn at least mid-single digits on any cash or marketable securities. Often immaterial and overlooked when forecasting earnings, growing cash balances and higher interest rates could boost earnings and surprise to the upside.

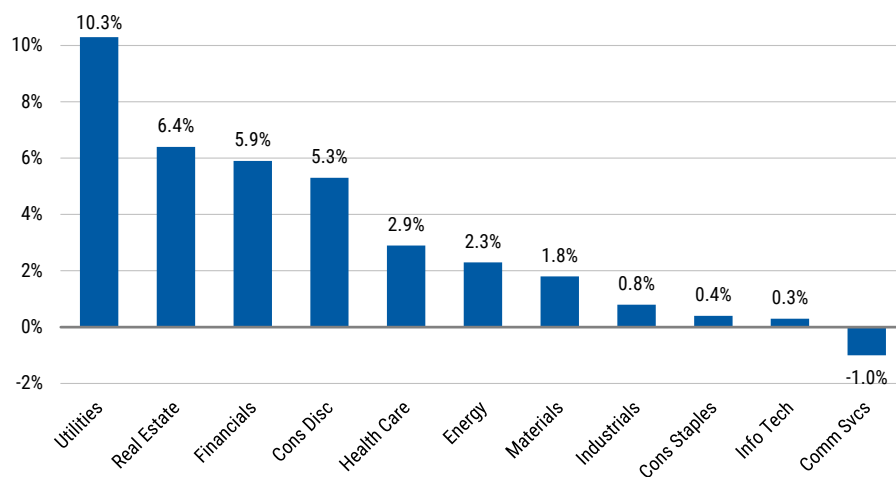
Exhibit 25: Interest-ing Income



Note: Equities Total Return = Russell 1000's (total dividends + net share repurchases) / aggregate market cap
Source: FactSet and Morgan Stanley Research.

On the other hand, higher rates cost companies more in interest payments and may also lead to reduced investment, M&A, and share repurchases on the margin. As interest rates have fallen, it seems that companies have been more tempted to increase their debt loads. The Exhibit below details each sector's y/y change in total debt.

Exhibit 26: Median y/y Changes in Total Debt



Note: Russell 1000 universe 1Q26 vs. 1Q25 y/y changes.
Source: FactSet and Morgan Stanley Research.

#5. Increasing Refinancing Cost Ideas

Here we've identified companies that are more exposed to potential higher funding costs in the short term due to upcoming debt maturities.

Screening Criteria:

- Russell 1000 companies, excluding Financials and Utilities sectors and the Automobiles and Air Freight & Logistics industries
- Short-Term Debt / Total Debt >20.0%
- Debt / EV >25.0%

Some companies in the list below may be controversial given the criteria and the current market environment. This is a quantitative screen and qualitative assessment is warranted.

Exhibit 27: Rising Funding Costs?

Ticker	Company	Sector	Market Cap (\$M)	ST Debt / Total Debt	Total Debt / EV	Avg Interest Rate	YTD Total Return
KD	Kyndryl Holdings Incorporation	Info Tech	2,560	41.6%	91.1%	1.8%	-56.3%
TAP	Molson Coors Beverage Company Cl	Cons Staples	6,908	38.2%	44.5%	3.5%	-14.7%
CLX	Clorox Company	Cons Staples	11,457	37.4%	27.9%	2.0%	-3.6%
BG	Bunge Global SA	Cons Staples	22,628	32.0%	39.8%	3.9%	32.5%
PSX	Phillips 66	Energy	80,768	31.1%	28.1%	3.6%	58.1%
MAA	Mid-America Apt Communities, Inc.	Real Estate	15,558	30.9%	28.4%	3.3%	-1.6%
HSIC	Henry Schein, Inc.	Health Care	9,901	30.9%	27.7%	4.0%	15.0%
ADM	Archer-Daniels-Midland Company	Cons Staples	39,655	29.8%	26.6%	5.2%	44.9%
CPT	Camden Property Trust	Real Estate	11,357	29.7%	29.6%	3.2%	4.6%
SWK	Stanley Black & Decker, Inc.	Industrials	13,582	27.6%	39.1%	4.9%	19.9%
MKC	McCormick & Company, Inc.	Cons Staples	14,209	27.1%	27.5%	4.0%	-21.0%
COLD	Americold Realty Trust, Inc.	Real Estate	4,536	27.0%	58.1%	3.2%	27.2%
SON	Sonoco Products Company	Materials	5,260	25.1%	49.6%	4.5%	24.4%
ADC	Agree Realty Corporation	Real Estate	9,367	24.9%	29.1%	3.6%	10.5%
ECHO	EchoStar Corporation	Comm Svcs	27,387	24.9%	47.5%	5.2%	-13.1%
INGM	Ingram Micro Holding Corporation	Info Tech	6,822	23.5%	46.9%	8.0%	38.8%
SMCI	Super Micro Computer, Inc.	Info Tech	17,886	23.3%	38.8%	0.7%	-5.5%
R	Ryder System, Inc.	Industrials	10,372	23.2%	52.4%	4.6%	41.0%
CRWV	CoreWeave, Inc.	Info Tech	43,613	22.9%	47.9%	3.5%	11.6%
MOS	Mosaic Company	Materials	7,291	22.7%	42.0%	3.3%	-2.9%
GPC	Genuine Parts Company	Cons Disc	16,812	22.6%	32.2%	2.4%	1.1%
SLGN	Silgan Holdings Inc.	Materials	4,725	21.2%	55.9%	4.1%	11.8%
ETSY	Etsy, Inc.	Cons Disc	7,882	21.1%	40.0%	0.6%	49.8%
SBAC	SBA Communications Corp.	Real Estate	19,860	20.7%	42.0%	3.6%	-1.9%
BC	Brunswick Corporation	Cons Disc	5,036	20.1%	35.0%	4.6%	5.6%

Note: Russell 1000 universe, excluding Financials and Utilities sectors and the Automobiles and Air Freight & Logistics industries. Market data as of 7/14/2026.

Source: FactSet and Morgan Stanley Research.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Todd Castagno, CFA, CPA; Clinton Chang, CFA, CPA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over

the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 14-9169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

The following authors are neither Equity Research Analysts/Strategists nor Fixed Income Research Analysts/Strategists and are not opining on or expressing recommendations on equity or fixed income securities: Todd Castagno, CFA, CPA; Clinton Chang, CFA, CPA.

© 2026 Morgan Stanley